

WORD OF MOUTH MARKETING



HOW-TO GUIDE

Word of Mouth Marketing



Word of Mouth is not a new promotional channel for marketers. Consumers sharing information with other consumers is perhaps the most coveted form of promotion and one that has existed since humans invented commerce. Think about how often you share your opinion on a product or service to someone else. It's a frequent occurrence and these communications are perceived as highly credible. As a result, it makes sense to be pro-active about word of mouth marketing and to include it in your overall marketing strategy.

Word of Mouth Marketing (WOMM) is defined as providing people with a reason to talk about your product or service and then making it easy for them to do so. While this sounds like a fairly basic concept, WOMM is much more complex than one might assume.

This How-To Guide will teach you how to make WOMM work within your existing marketing mix by providing you with an action plan that contains five steps you can use to start incorporating it right away. This guide also highlights the importance of WOMM, the different forms it can take, and it explains how to measure WOMM effectively.

Types and Forms of WOMM

According to McKinsey, word of mouth is the primary factor behind 20 to 50 percent of all purchasing decisions. It is a major force to investigate and harness as a marketing strategy. Word of mouth is such a strong factor in individuals' decisions that as marketers, you must give the consumers something to talk about and make it easy for them share their views about you.

In today's world, consumers are overloaded with information. When you are interested in a product there are countless online resources to find information or opinions on a brand of interest. WOMM provides these consumers with the avenues to deliver their message, but also suggests messages they can deliver. Word of Mouth Marketing is all about listening to your customers, engaging them and providing them with a voice.

There are various word of mouth techniques. A few techniques that you are probably familiar with include

- Buzz Marketing
- Viral Marketing
- Community Marketing
- Grassroots Marketing
- Cause Marketing
- Brand Blogging
- Referral Programs

Word of Mouth Marketing



According to McKinsey, the following three forms of WOMM are important to marketers:

Experiential

- Reflects the consumers' direct experience with a product or service.
- Most common.
- When consumers express their opinion, it is mainly when the experience deviates from what they expected either positively or negatively.

Consequential

- Consumers directly exposed to traditional marketing campaigns pass on messages about them or the brands they publicize.
- Stronger than the ad itself because campaigns that trigger positive WOM have higher campaign reach and influence.
- Marketers need to think about the “pass on” effects.

Influential

- Least common.
- Example: Celebrity endorsements to trigger positive buzz about a product.
- Effects are difficult to measure, and sometimes marketers are unsure if they can successfully execute.

Measuring WOMM

Word of Mouth Equity

- Traditionally a starting point to measuring word of mouth was to count the number of recommendations and dissuasions for a product. This method, however, does not take into account the power of different kinds of word of mouth messages. For example, recommendations from family members are likely much stronger than those from strangers. A word of mouth equity formula was developed by McKinsey to include these different types of power. A high impact recommendation would be from a trusted friend versus a low impact recommendation from a stranger. The formula created to measure this is as follows:

Average sales impact of a brand message $\times$ the number of word of mouth messages.

Word of Mouth Marketing



- There are three crucial drivers: what is said, who says it, and the environment in which it was said. For example, tight trusted networks will have less reach but greater impact. If we understand how and why messages work, we can craft a coordinated, consistent response that will reach the right people. This will generate a greater impact on the products consumers recommend.

Social Media Metrics

- The growing online presence of word of mouth is easy to measure because it is all captured online. Using social media metrics to analyze different channels will help reveal who recommends products and which messages are the most effective. It is as simple as monitoring how many “Likes” certain messages receive on Facebook, or how many retweets a message get on Twitter. Google Analytics can track social media metrics.



You can also keep track of social media metrics using the Demand Metric [Social Media Metrics Dashboard](#)

Bottom Line

We all know about Word of Mouth but now it's time to make it work within as part of your marketing strategy. Word of Mouth Marketing is giving a reason for people to talk about your products and providing them with tools to ensure conversations take place. This concept is becoming more important with the growing presence of consumers sharing opinions online whether it is social networks or online communities.

In order to ensure successful word of mouth, you must find the right people to talk about your product, create messages that will spread, provide them with the tools to share information, take part in the conversations and measure the results. Since word of mouth is such a powerful factor in consumers' decisions, it is important to exploit it and make it work to your advantage.



Action Plan

STEP 1 - Identify the Talkers

1 Identify the Talkers



Finding the "Talkers" aka the "Influencers"

- Make sure to find the people who like to talk and ensure that they know about your new topic of conversation.
- Talkers, often referred to as "influencers," are the individuals most likely to spread the word of mouth message. They are anyone who has enthusiasm to relay your message to the target audience.
- Examples of talkers include bloggers who cover your topics, volunteers, and enthusiastic customers.

2 Create Topics

3 Provide Tools

4 Take Part

5 Track & Measure



Action Plan

STEP 2 - Create Topics

1 Identify the Talkers

2 Create Topics



3 Provide Tools

4 Take Part

5 Track & Measure

Get Talking with Simple Messages and Fun Topics

- Create simple ideas and concepts for people to start talking about. These are the messages you want to spread.
- Keep it simple and make it easy for people to spread the word.
- Keep in mind the topic doesn't need to be about your features but can be fun!



Action Plan

STEP 3 - Provide Tools

1 Identify the Talkers

2 Create Topics

3 Provide Tools



4 Take Part

5 Track & Measure

Know Your Tools and Spread Your Message Wide

- Marketers must provide infrastructure, techniques and technology in order for the message to spread. The tools you provide will help spread the message further.
- The number of tools that are now at our fingertips is one of the reasons why word of mouth has become a growing conversation among marketers, so take advantage of the space provided to spread the message.
- Examples include e-mails, blogs, sharing buttons on websites, online communities, tell-a-friend forms, and free samples.



Action Plan

STEP 4 - Take Part

1 Identify the Talkers

2 Create Topics

3 Provide Tools

4 Take Part



5 Track & Measure

The Importance of Participation for Positive Growth

- Engage your audience by taking part. Join the conversation. Respond to their messages, accept comments online, and answer the phone.
- You must open the door to word of mouth conversations. Although this allows for negative feedback, you will also earn the respect and loyalty to create long-term relationships.
- Say Sorry and Thank You; make them feel appreciated regardless of the positivity of the recommendation.



Action Plan

STEP 5 - Track & Measure

1 Identify the Talkers

2 Create Topics

3 Provide Tools

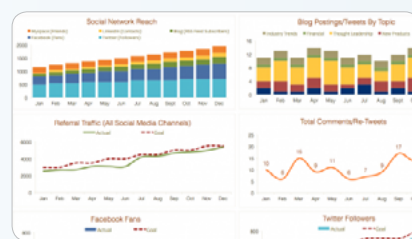
4 Take Part

5 **Track & Measure**



Valuable Tracking from a Social Media Metrics Dashboard

- Tools have been developed to understand how messages travel and how to follow what consumers are saying.
- Because of the emergence of many online communities and blogs, all the conversations are written down, making them much easier to measure. These conversations allow you to see what people really think about your brand. We can then take an online conversation and project it into the offline world. This is the greatest feedback.
- Use Word of Mouth Equity or Social Media Metrics to help track Word of Mouth Marketing.



Social Media Metrics Dashboard



[VIEW RESOURCE](#)

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